Country Compliance Report:

Chile

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Content

Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

1. Terminology

This section outlines general and country-specific terminology for Chile, which will be used throughout the whole document.

Term	Explanation
AoR	Acknowledgement of reception, which can be positive (acceptance) or negative (rejection) is the mandatory notification that the buyer must issue to the supplier upon receipt of the DTE
Boletas	Tickets for B2C operations.
Clearance	Is the process performed by the supplier or its service provider when issuing invoices and having them approved / validated by the country-specific mandatory infrastructure in order to ensure that the supplier has issued a legally valid fiscal document
DTE	Stands for Electronic Fiscal Documents or *Documento Tributario electronico*. This definition includes but is not limited to invoices, debit and credit notes, despatch advises and receipts
Folio or CAF	A folio or CAF (*Código de Autorización de Folios*) range is a set of sequential range of numbers to each DTE assigned by the SII, which the taxpayer must apply when issuing DTE's
RCV	Registry of Sales and Purchases prepared by SII for the taxpayers
RUT	Tax identification number, which is used for VAT and other tax purposes
SII	Internal Revenue Service or *Servicio de Impuestos Internos* (www.sii.cl)
UF	UF means "*Unidad de Fomento*". It is the indicator used to automatically adjust the cost of services for the inflation. SII is responsible for updating UF
UTM	UTM means "*Unidad Tributaria Mensual*". That's the equivalent of UF used to automatically adjust administrative amounts (e.g. taxes and fines) for the inflation. It is updated on a monthly basis. SII is responsible for updating UTM

Validation	Is the process performed by the buyer or its service provider when receiving invoices and having them confirmed / validated by the country-specific mandatory infrastructure in order to ensure that the buyer processes a legally valid fiscal document

2. General overview

This section provides an initial introduction into the local eInvoicing environment within Chile, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• The Internal Revenue Agency "*Servicio de Impuestos Internos*" or SII (http://homer.sii.cl) • Registry of service providers
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• SII Exempt Resolution N. 09, 2001 on e-signatures • Law 19,799, 2002 on e-signatures and e-documents • SII Exempt Resolution No. 45, 2003 which defines the electronic invoicing model • Law N. 19,983 (art. 9), 2004 which gives right to tax credit to the buyer or beneficiary when the tax has been charged on e-invoices • Law 20,727, 2014 on electronic fiscal documents • Circular No. 04 from January 4, 2017 which introduced the AoR process and obligation for the taxpayers • SII Resolution No. 61 of July 12, 2017 on RCV • Law 21.217 of March 27, 2020 which regulates the regime of invoices and its copies. • SII Resolution N°163 of December 18, 2020 which regulates reporting of e-boletas. • SII Resolution N°176 of December 31, 2020 • SII Resolution N°123 of November 02, 2021 • Law 21.420 that eliminates tax exemptions • Circular N50 SII

3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Mandatory
Varying invoicing regimes[1]	• Yes, for domestic and export invoices
e-Invoicing model	• **PRE-CLEARANCE**, meaning that e-invoices must be cleared with the mandatory infrastructure before the exchange between the trading partners.
e-Invoice definition[2]	• According to Law 20.727, e-invoices is a digital document that is legally valid as a means of endorsing the commercial operations between taxpayers and, as such, replaces traditional paper invoices
Scope of taxpayers the e-document mandate applies to	• Mandatory issuance: both domestic and export • Mandatory receipt: domestic
Mandatory AoR (document response) process	• Yes
Implementation / roll-out plan	• According to Law 20.727, e-invoices is a digital document that is legally valid as a means of endorsing the commercial operations between taxpayers and, as such, replaces traditional paper invoices

[1] It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others
[2] Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law

4. Before switching to e-invoices

4.1. IT[3] registration

The following thresholds apply to the requirement to be registered for a IT number in Chile:

No registration threshold applies. All business entities must file a business initiation application on commencement of operations and an application for RUT. This applies also to permanent establishments of foreign entities in Chile.

Non-established businesses. A "non-established business" is a business that has no fixed establishment in Chile. If a non-established business intends to carry out transactions in Chile that are subject to VAT, it is required to be registered for VAT purposes. Consequently, the non-established business must submit an application for a RUT number and a business initiation application and must appoint a representative in Chile to act on its behalf. However, taking these actions may result in the conclusion that the non-established business has become a permanent establishment (PE) in Chile.

Tax representatives. SII may direct a non-established business to appoint a VAT representative to act on his behalf for the purpose where the person:

- is a taxable person or makes taxable supplies or acquires goods in Chile,
- is not established, and does not have a 'fixed establishment' in Chile,
- in the case of an individual, the 'usual place of residence' is not in Chile.

In Chile Tax identification number, called **RUT, is used as VAT number**. The format of the RUT number is 12.345.678-0.

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

[3] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• VAT registration • No prior or ongoing criminal record in respect of tax violations • To have initiated and maintained economic activity • To be a first category taxpayer
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit requirements • However, each taxpayer is required to submit their valid e-mail address to SII for DTE exchange (“*mail de intercambio entre contribuyentes*”); both RUT number and e-mail address can be obtained via a service provided by the SII
Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• **Certification Process required** o The certification process consists of a set of tests conducted by the SII. The testing includes i.a. generation and submission of DTE’s and AoR’s to SII, in order to verify that the taxpayer's systems support compliance and support operations. The taxpayer must have a digital certificate in order to perform the testing o Upon a successful completion of the testing, the taxpayer must declare this on the SII platform; after which the SII will issue a corresponding resolution that confirms the taxpayer as electronic taxpayer

4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed

Whether statement of outsourced issuance i required on the invoice	• No explicit requirements
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• No explicit requirements, but highly recommended by Pagero.
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• No explicit requirements
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• No explicit requirements
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• No explicit requirements

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Chile has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).

5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• Local XML
Other document format(s) commonly used for exchange between trading parties	• XML and PDF/paper
Mandated platform(s) required to have connection with for e-document processing	• SII
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.

Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• RUT number and e-mail address of the recipient, available via a service provided by the SII
Other technical aspects	• N.a.

5.2. Communication with SII

Regulations in Chile foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	**Market billing system**: The SII portal is not suitable for companies processing large quantities of DTE's or who want to automate their processes. For this the SII foresees that the businesses can connect via webservices in two ways: • Inhouse developed invoicing solution, which the taxpayer has developed by themselves • E-Invoice service provider solution, which the taxpayer has acquired from a company offering such solutions. SaaS model is allowed in Chile
Manual	• SII webportal • This is a free of charge solution provided by the SII to small and medium businesses for manual clearance and validation of the DTE's
Other options	• N.a

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

5.3.1. Domestic DTE's

This section describes the process for documents created to be transmitted within the given country

Let's first review the issuance and clearance process for domestic B2B transactions, such as invoice or despatch advise[4].

1) **The supplier** must generate an electronic file following the DTE requirements containing the relevant tax information of the commercial transaction, which must be digitally signed to ensure I&A.
2) **The supplier** needs to first clear the DTE with SII and afterwards distribute the DTE to the buyer
   a. When the supplier submits the DTE for clearance with SII, the DTE must be e-signed with a digital certificate. This can be done either using the certificate issued to the representative of the company or using the certificate of a third party provider.
3) **SII –** Once the DTE has been submitted to the SII, the infrastructure will perform validation and clearance procedures. There is no SLA for SII clearance, however, the majority of clearance decisions happen within second or minutes.
4) **SII** – A DTE that has not been cleared by SII does not have fiscal value. When the DTE is rejected by SII, the document will not be registered, and the supplier should ensure to solve the reason of the rejection and resend the updated DTE with e-signature for re-processing.
5) **The supplier** – Once DTE has been cleared by SII, the supplier must send the cleared DTE to the buyer as soon as possible. The legislation does, however, not prescribe any maximum time within which the DTE must be sent to the buyer, nor any consequences for the supplier in the event the DTE has not been sent or sent with a delay[5].
   a. The DTE is considered as delivered once it has been sent to the buyer's e-mail address. It is sufficient to only deliver the XML DTE, i.e. there is no requirement do delivery to the buyer PDF representation or printed version thereof.
   b. The supplier must, however, be in a position to provide a printed or PDF graphic representation of the cleared DTE with a PDF417 code upon buyer's request.
   c. A printed DTE must always accommodate the transported goods. This should either be the despatch advise or the invoice.

For issuance of B2C e-receipts (es. *Boleta*), the process is as follows:

1) **The supplier** must generate an electronic file following the DTE requirements containing the relevant tax information of the commercial transaction, which must be digitally signed to ensure I&A.

[4] The despatch advise (es. *Guia de Despacho*) must be issued to accompany goods where the related invoice has not yet been issued. Issuance of the Despatch advise follows the same process as B2B e-invoice.
[5] For this Reason, it is therefore recommended that the taxpayer/buyer always consults with SII on whether there are any DTE's available on the SII system.

2) **The supplier** needs to first clear the DTE with SII and afterwards distribute to the buyer:
    a. Once each e-receipt is generated it must be sent to the SII immediately, within 1 hour, ensuring the correct reception of the documents by the SII.
    b. If internet is not available, the supplier may generate the e-receipts, provided submission to SII withing 1 hour from the moment the connection is restored.
    c. In this regard, after August 1, 2022, the SII eliminated the obligation to send the Daily Sales report, for those taxpayers issuing electronic receipts or e-boletas to final consumers.

3) **SII –** Once the DTE has been submitted to the SII, the infrastructure will perform validation and clearance procedures.
4) **SII –** A DTE that has not been cleared by SII does not have fiscal value. When the DTE is rejected by SII, the document will not be registered, and the supplier should ensure to solve the reason of the rejection and resend the updated DTE with e-signature for re-processing.
5) **The supplier** – Once DTE has been cleared by SII the supplier must send the e-receipt to the buyer in one of the following ways:
    a. Virtual representation, or
    b. Printed representation, or
    c. Other means stipulated by any resolution complementing or replacing Resolution Ex. SII N° 99 de 2019 in the future.

5.3.2. Cross-Border- Export DTE's

This section describes the requirements for cross-border outbound documents such as sales invoices

Chilean VAT does not apply to the export of goods. However, to qualify as VAT-free, exports must be properly supported by evidence confirming that the goods have left Chile. Invoices for export transactions must be issued in accordance with the regulations established by the National Customs Service, and must be cleared with the SII. For this, the supplier has to follow the same process as for domestic DTE's, with the following variations:

- Export invoices don't have VAT,
- Export invoices don't include Acceptance or Rejection mechanisms,
- Export invoices can't be registered in the "Registro Electrónico de Cesión de Crédito" (Electronic Record of Credit Assignment). This does not mean that they can't be factorized.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

5.4.1. Domestic DTE’s

This section describes the process for documents received for purchases or transactions within the given country

In Chile, the buyer is required to validate the DTE’s issued by the supplier for their tax validity with SII, as SII clearance messages are not required to be distributed by the supplier. In doing so, it is offered two options:

1) Fetching DTE’s automatically directly from SII, alt.
2) Validating DTE’s manually in the SII’s Webportal

5.4.2. Cross-Border – Import DTE’s

This section describes the requirements for cross-border inbound documents such as purchase invoices

In Chile, there are no explicit regulations on import invoices. Such invoices are not required to be cleared with or otherwise reported to the SII. The trading parties are allowed to exchange import invoices directly with each other in the way and form they have agreed.

5.5. AoR (response) process

The SII has also regulated the exchange of reception, approval and/or rejection notifications of DTEs. Buyer needs within eight (8) calendar days from the moment DTE has been cleared by SII, issue an (AoR) message for any DTE type. In case this AoR message has not been delivered within 8 calendar days, the DTE will be considered approved by the buyer and legally entitled to pay it.

- If the buyer wants to reject the DTE, the buyer must send the AoR to the SII latest on 8th day after it has been cleared by the SII:
  - The SII is not responsible for distributing the AoR to the supplier, who therefore has to consult the SII on whether any AoR’s are available,
  - The buyer may optionally, after registering the AoR with the SII, send the AoR to the supplier. In such case, the AoR must be issued in the same format as the DTE.
- If the buyer wants to accept the DTE, the buyer has two options, either (1) respond via the SII with approval (at any point during the 8-day period) or (2) omit giving any message so that the DTE will automatically be considered as accepted.

The SII has as well regulated what the buyer must control and the types of AoR’s that can be issued:

- Document receipt acknowledgement (technical notification – optional for issuance and not mandatory for archiving)
- AoR’s (legal messages – mandatory for issuance and archiving):

    - DTE Content Accepted
    - DTE Rejected:
        - Claim to the contents of the Invoice,
        - Claim for partial lack of delivered goods or services rendered, or
        - Claim for total lack of delivered goods or services rendered,
- Goods receipt note / GRN (optional for issuance, however, mandatory for archiving).

In business practice, the trading parties can, agree on invoice modification even after the 8-day period. In such case, the supplier should issue a credit or debit note and a new invoice for the buyer following the same issuance process via SII.

5.6. SII validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

The SII responds with the acceptance or rejection of the document.

- If a DTE is rejected by the SII, it is not valid with the tax entity. Thus, the DTE's folio is not used by the SII. This means that once the problem for which the document was rejected is solved, it is possible to resubmit the document. Numerical correlation is not required.
- After obtaining the approval of SII (approval or approval with restraints), the issuer of the document may prepare the DTE to be sent to the buyer immediately.

The SII response may have the following statuses:

- **Approved**: If the DTE fulfils the required validations, in which case the DTE obtains the full tax validity.
- **Approved with remarks**: If the DTE complies with the established validations and therefore, already has tax validity, but there is data in the DTE that, due to an audit, could be remarked.
    - There are no predefined "remarks", but they usually relate either to the document information or the amounts, where a certain (low) %-deviation from the total amount may be allowed.
    - The supplier is not required to resubmit such DTE's, as they are considered as valid for legal and accounting purposes.
- **Rejected**: If the DTE fails to meet the established conditions. In this case, the DTE does not obtain the tax validity. This is the only scenario when SII allows resubmission of the DTE with the same serial number.
    - There are no predefined rejections

5.7. Invoice presentation / copy

Some regimes require a visual presentation of the invoice file to be transmitted along with the structured invoice file. This section describes if there is any regulation concerning visual or image-based presentations of invoices as a copy for the original or vice versa.

There is no requirement for the supplier to distribute the graphic representation to the buyer, the XML version of the DTE is sufficient, unless the buyer us a non-electronic receiver.

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds “Copy Tax Invoice” on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

The exchange of DTEs between taxpayers is done two-fold:

- Via SII for which all electronic taxpayers are required to declare an e-mail address, and
- After obtaining the clearance of SII (approved or approved with remarks), the supplier may prepare the DTE to be sent to the buyer either electronically or by printing a graphic representation of the DTE.

Note that there is no legal obligation for the supplier to as well distribute to the buyer the clearance response from the SII.

Item	Commentary
Push communication	• No explicit requirements
Pull communication	• No explicit requirements
E-mail distribution	• Allowed
Webportal[6]	• Allowed
Scanning inbound invoices	• No explicit requirements
Scanning outbound invoicing	• No explicit requirements

[6] Note, however, that prior to using and external portal, like Pagero’s Webportal, Suppliers are required to already have an invoice / invoice data in their internal accounting software. Portals are not designed for the purpose of replacing internal accounting but are a mechanism to make invoices available for the Buyer. Recommended only for businesses issuing fewer than 100 invoices annually.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

If the buyer rejects the DTE, then it is up to the supplier to correct it via credit or debit note – the only means of compliance with the SII's mandates:

- Credit notes should be issued for rebates, discounts or transactions voided. A credit note must contain the same information as the VAT invoice.
- Debit notes should be issued for the increases in the tax basis of VAT. A debit note must contain the same information as a VAT invoice.

In the event of a discrepancy between XML and paper DTE, only the XML file will count.

Rectification process	
What are the options to correct an invoice if an incorrect IT rate, exemption or reverse charge is applied on the invoice	• Credit note/debit note
What are the options to correct an invoice if the customer returns the goods	• Credit note
What are the options to correct an invoice if the customer paid too much	• Credit note
What are the options to correct an invoice if the supplier agrees to a discount after the invoice was issued to the customer	• Credit note
What are the options to correct an invoice if the invoice misses data such as name, address, IT number, invoice reference, etc.	• Credit notes
Other scenarios with different correction option	• No
Party entitled to issue a credit note if the invoice was issued by the supplier (i.e. no self-billing)	• Supplier
Allowed to draft a 'waiting' document/interim document' in the absence of a purchase invoice and report IT as due and deductible on the basis of this document	• No information is currently available

5.10. Coexistence of paper and electronic invoices

Item	Commentary

Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Electronic invoicing is mandatory for all taxpayers
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• N.a
Whether any conditions apply, and which, to the dematerialisation	• N.a
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• N.a
Whether any conditions apply, and which, to the materialisation	• N.a

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

Paper-based DTE documents are allowed as a contingency measure in case of technical issues on SII side. Typically, the SII would issue a resolution that the platform will not be operational during a certain period of time, e.g. during a natural disaster. Only despatch advises are allowed to be issued during the contingency mode.

Contingency DTE are printed on special paper procured from vendors authorized by SII, including a government-applied watermark (*timbre de agua*) applied by the SII. Contingency DTE's have a separate range of folio numbers and need not be registered with SII once operations have resumed. They should be included in the relevant month-end reporting

6. Document content requirements

6.1. Document types

Item	Commentary	Status
Regulated DTE's	1) Invoice (*Factura*) 2) Exempt invoice (*Factura Exenta)* 3) Despatch advise (*Guia de Despacho)* 4) Credit note (*Nota de* Crédito*)* 5) Debit note (*Nota de Débito)* 6) Self-billed invoice (*Factura de Compra)* 7) Consignment invoice (*Liquidación Factura)* 8) Export invoice (*Factura de Exportación)* 9) Export credit note (*Nota de Crédito Exportación)* 10) Export debit note (*Nota de Débito Exportación)* 11) Consumer receipt (*Boleta)* 12) Exempt consumer receipt (*Boleta Exenta)*	1) Mandatory 2) Optional 3) Mandatory 4) Mandatory 5) Mandatory 6) Mandatory 7) Mandatory 8) Mandatory 9) Mandatory 10) Mandatory 11) Mandatory[7] 12) Optional
Regulated acceptance messages	1) DTE receipt acknowledgement 2) Acknowledgement of reception / AoR	Optional Mandatory

Item	Commentary
Self-billing allowed	• No
Simplified invoice allowed	• No

6.2. Document numbering

- This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

[7] Becomes "mandatory" according to the following schedule: (1) from 1 January 2021 for electronic taxpayers (i.e. those already issuing electronic documents), and (2) from 1 March 2021 for non-electronic taxpayers

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes • An Invoice numbering (Folio)range is a set of sequential range of numbers up to ten digits in length. • Folios are requested manually by taxpayers with RUT number via the SII website, with the authorization delivered to the taxpayer via the website. The provided folio ranges are then valid for six (6) months, so the taxpayer has to request a new folio series from the SII every six months or more frequent depending how quickly they make use of the provided folio series. • Once approved, the XML authorization block includes the starting folio number, the ending folio number and a private/public key pair to be used during the signing process as each number from the range is applied to individual DTE documents over time. • Folios are managed within the taxpayer's ERP system, which should generate the DTE alt. DTE content including the folio. To ensure correct folio numbering and prevent duplications, the XML file including the folio ranges should be uploaded with another software, e.g., service provider, to control the folio applied by the ERP.
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes • A separate folio range is needed for each DTE document type with each range registered and authorized by the SII in advance.
Allowed to start a new sequential numbering every year	• No information is currently available
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

No additional document numbering in Chile.

6.3. Indirect tax (IT)[8] rates

This section illustrates the applied IT[9] rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
19%	**Standard**	• The standard VAT rate is 19%. It applies to all taxable transactions unless a specific measure provides for an exemption
	Exempt	• Used motorized vehicles, Importation of goods by the National Ministry of Defence, Certain real estate transactions, Admission to artistic, scientific or cultural events, sponsored by the Public Education Ministry, Premiums for or payments from life insurance contracts, Exports of goods, Entrance to sporting events, Importation of cultural or sporting awards and trophies, Services provided by independent workers, Freight from other countries to Chile and vice versa, Importation of capital assets incorporated to investment projects in Chile, under certain circumstances • Transactions made by certain entities are exempt from VAT

Additional indirect taxes

Additional indirect taxes may be posed on certain types of goods, for example:

- **Stamp tax**: money credit operations: 0,066% per month, with 0,8% maximum; money credit operation on demand or without maturity 0,332%.
- **Additional tax on luxury products**: VAT plus 15% (in some cases 50%, such as fireworks).
- **Additional tax on non-alcoholic beverages**: VAT plus 10% or 18% (for beverages with high sugar levels).
- **Additional tax on alcoholic beverages**: VAT plus 20,5% and in some cases 31,5%.
- **Specific tax on gas and diesel supplies**: VAT plus, depending on the supply: gas 6 UTM/m3; diesel 1.5 UTM/m3; compressed natural gas 1.93 UTM/1000 m3; LPG: 1.40 UTM/m3. To all the fixed amounts previously mentioned, a variable amount determined by law must be added or subtracted.
- **Tobacco tax**: VAT plus tax rate ranging between 52,6-59,7% over the retail price in case of cigar or manufactured tobacco products, respectively; and a specific tax of

[8] For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.
[9] Local name “Impuesto al Valor Agregado” (IVA)

0,0010304240 UTM of the value per cigarette, plus an additional tax of 30% over the retail price.

- **Additional tax on emissions**: lightweight and medium motorized vehicles pay a specific one-time tax under a fixed formula.

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Chile. Please note that other additional content requirements might apply in addition, i.a. of technical character.

Mandatory DTE content

The detailed overview of the mandatory DTE content can be found on the website of the SII:

- For B2B DTE's (invoice and related documents):
  - http://www.sii.cl/factura_electronica/factura_mercado/formato_dte.pdf
- For B2C DTE's (receipt and related documents):
  - http://www.sii.cl/factura_electronica/boletas_elec.pdf
- For periodic reports:
  - http://www.sii.cl/factura_electronica/libros_boletas.pdf
  - http://www.sii.cl/factura_electronica/formato_lgd.pdf
- For AoR:
  - http://www.sii.cl/factura_electronica/formato_ic.pdf

General	
Required to mention the word "invoice"	• Yes
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	• Yes • DTE's must be issued in Spanish, besides export DTE's, which can be in any language
Sequential numbering	• Yes, see section 6.2.1 above
Required to mention copy or duplicate in case a copy is issued	• Yes
Reference in case of outsourced issuance	• No explicit requirements

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No
Full address of the supplier in country of establishment	• Yes

Allowed to mention the PO box address instead of the legal address of the supplier	• No information is currently available
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes
IT identification number of the supplier in the country of establishment	• No information is currently available
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• Where relevant
Legal form of the supplier	• No explicit requirements
Trade register number of the supplier	• No explicit requirements
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No explicit requirements
Place of legal seat of the supplier (Headquarters)	• No explicit requirements
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes
Allowed to abbreviate or shorten the legal name of the customer	• No information is currently available
Address of the customer in country of establishment	• Yes
Bill-to address when it is different from the registered address of the customer	• No information is currently available
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No information is currently available
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• No
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No

Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Yes
Date of prepayment	• No
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Shipped to location (for the supply of goods)	• No, but recommended • Especially in case of cross-border transactions
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended • Especially in case of cross-border transactions
Incoterms	• No, but recommended • Especially in case of cross-border transactions
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• No

Financial data	
Taxable base per item (unit price excl. IT)	• Yes
Total taxable base per IT rate or exemption	• Yes
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes • If multiple taxes are applicable, the tax rate for every net / taxable amount should be specified
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes
Mandatory to mention the total IT amount due in the national currency	• As a general rule, invoices must be issued in Chilean pesos (CLP). Equivalent sums in foreign currency can be expressed in the detail lines of the document using the

	exchange rate of the day of the issuance. As an exception, export invoices may be issued in foreign currency
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• None
Exchange rate (if the invoice is not issued in the local currency)	• Equivalent sums in foreign currency can be expressed in the detail lines of the document using the exchange rate of the day of the issuance. As an exception, export invoices may be issued in foreign currency
Which exchange rate must be applied in order of priority	• The exchange rate of the day of the issuance
Terms of payment	• No
IBAN and BIC number of supplier	• No

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No explicit requirements
List the required references in case of exemption or reverse charge	• N.a
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	• N.a
Required to specifically mention 'margin scheme - travel	• No explicit requirements

agencies', 'margin scheme - second hands goods', if applicable	
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N.a
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• No
Specific references required in case invoicing is outsourced	• No explicit requirements
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No explicit requirements
Other specific requirements/references to be mentioned on an invoice	• These are certain economic activities that must be mentioned explicitly. Please refer to page 46 under point 4: http://www.sii.cl/factura_electronica/formato_dte.pdf

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• Allowed, through issuance of Tickets ("Boletas")
Maximum amount for simplified invoices	• No maximum amount established by SII.
Other supplies for which a simplified invoice can be issued	• N.a
Simplified invoices limited to certain type of supplies	• Tickets will be issued for those recipients who are final consumers.
Simplified invoices not allowed for certain transactions	• N.a
Minimum content requirements on a simplified invoice	• Document name: "*Boleta electrónica*" or "*Boleta no Afecta o Exenta electrónica*" •
Invoices subject to the national invoice requirements (not self-bills)	• N.a

(other) Invoices subject to the national invoice requirements (not self-bills)	• No

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Chile, credit notes must be issued as rectification documents. A credit note should include at least the following information:

A debit note and credit note must contain the same information as a VAT invoice.

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• No information is currently available
Reason for credit required	• No information is currently available

Sequential numbering	
Separate sequential credit note numbering required	• No information is currently available
Allowed to issue one credit note to correct different invoices	• No information is currently available

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.

6.7. Optional content

This section outlines briefly whether and how the trading parties can provide additional content in the technical e-document format mandated or otherwise prescribed in the specific jurisdiction.

The taxpayers can provide additional information in the Chilean XML format, beyond what is required for DTE's. There is, however, no predefined structure and has be to agree upon between the taxpayers individually.

7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Required	• Required
Which methods for ensuing I&A are provisioned for	• E-signature with digital certificate	• E-signature with digital certificate
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• Allowed • The taxpayer must appoint a legal representative and register that person with Companies register • Such legal representative can either be employee of the taxpayer or a third party	• Allowed • The taxpayer must appoint a legal representative and register that person with Companies register • Such legal representative can either be employee of the taxpayer or a third party

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for eDocuments as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• The digital certificates are issued by private certification companies approved by SII • In general, there should be only one certificate per taxpayer • Validity of a digital certificate varies from 1 to 4 years
Automated e-signing	• Allowed
Time-stamping of e-signature	• No explicit additional requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements

8. Document retention

This section describes archiving requirements regarding the eInvoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• DTE's issued by the supplier (including e-signature and certificate)[10] • AoR issued by the buyer (including e-signature and certificate)
Requirements to present stored documents in a specific audit format	• No explicit requirements
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• In case of audit, the system must be able to deliver a printed copy of the invoices if requested by SII
Retention period for invoices not related to immovable property[11]	• 6 years
Start point of retention period calculation for invoices not related to immovable property	• Calendar years
Retention period for e- invoices related to immovable property	• N.a
Start point of retention period calculation for invoices related to immovable property	• N.a

10 It is no longer required to archive positive clearance responses issued by the SII (it is not required to archive the rejections, as such responses and the related DTE's are not legally valid). Responses from SII are no longer XML files, but rather events that are registered and can be looked up on the SII's "*Registro de Reclamos*". In practice, many applications continue to send the previous format of the XML file acknowledgements which can still be archived.

11 Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

Retention period for other than regular invoices or invoices related to immovable property (if existing):	• N.a
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a
Outsourced archiving	• Allowed
Archiving abroad[12] and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty	• Allowed. Availability of the documents at taxpayer's domicile must be guaranteed at all times during storage.
Other requirements in relation to electronic document retention	• In case of audit and verification, taxpayers must be able to search and deliver DTEs based on the following criteria: documents received from a particular supplier; documents issued to a particular buyer; by tax period; by range of net amount; and by specific VAT range

[12] In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.

9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• Yes, see section 10.1 further
Transportation documents	• Yes, see section 6.1 above
Other	• N.a.

10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Penalties

If the invoice is not provided, a fine of 50% to 500% of the amount of the transaction, with a minimum of 2 tax units per month (approx. USD $153.63) and a maximum of 40 tax units per year (USD $36870.48) may apply. Also, the establishment may be closed for 20 days. Finally, if there is repetition on the infraction, prison penalties may be applied.

10.2. E-reporting

No E-reporting currently in scope.

10.3. Public procurement

No information is currently available

10.4. Indirect tax reports

At the end of each month, certain compliance reports must be uploaded to the SII, either manually or through an automated web service. These reports summarize the DTE transactions produced during the month and also include any paper DTE's produced in contingency mode:

1) Summary of Sales and Purchases (*RCV*),
2) Report of used folio (*Report de Consume de Folio – RCOF*),
3) Summary of consumer receipts (*Libro de Boletas)*,
    a. Should be created, only if the taxpayer has issued consumer receipts, otherwise not
4) Summary of Despatch advises (*Libro de Guias)*
    a. Should be created, only if the taxpayer has issued despatch advises, otherwise not

Since August 2018, SII is preparing Proposal for the RCV report. It is created with the information that comes from the electronic invoices for sales and purchases plus other non-electronic invoice information.

10.5. VAT returns

It is possible to submit VAT returns (Form 29) and make payment electronically through the SII website. In order to do this, taxpayers will need a password associated with its tax ID that must be requested from the Chilean tax authority by the taxpayer. Taxpayers must keep a record of invoices issued and received on the Chilean tax authority website, for six years. Such report is usually only generated upon the request from the SII.

11. Country-specific processing

This section outlines how the Pagero General eInvoicing process has been adapted to the local requirements to ensure compliant local processing.

11.1. Document issuance (AR) with Pagero

(1) File generation in the supplier format
(2) Document content validation and enrichment, conversion to the mandatory format, e-signing
(3) Submission of the document to the mandatory infrastructure for clearance
(4) Receipt of the clearance notification in the mandatory format
(5) Transmission of the clearance notification in the supplier format
(6) Distribution of the document to the buyer: both in mandatory format and any other (buyer specific) format

(7) Receipt of notifications (approval or rejection) from the buyer in the mandatory format
(8) Transmission of the buyer notifications in the supplier format
(9) Archiving of all relevant documents

11.2. Document reception (AP) with Pagero

(1) Receipt of the document
(2) Submission of the received documents to the mandatory infrastructure for validation
(3) Receipt of validation notification from the mandatory infrastructure
(4) Conversion of the received documents into the buyer format, content validation and enrichment, application of the buyer specific business rules for approval and rejection of the documents
(5) Transmission of the document both in the mandatory and the buyer formats
(6) Receipt of notifications (document approvals and rejections) from the buyer
(7) Conversion of all (automated and manual) buyer notifications to the mandatory format and submission to the mandatory infrastructure
(8) Archiving of all relevant documents

12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.

Revision history

Date	What has changed
30 August 2019	Document created
19 October 2020	Periodic update
08 November 2022	Periodic update
17 August 2023	Section 10: Added Penalties and e-reporting